

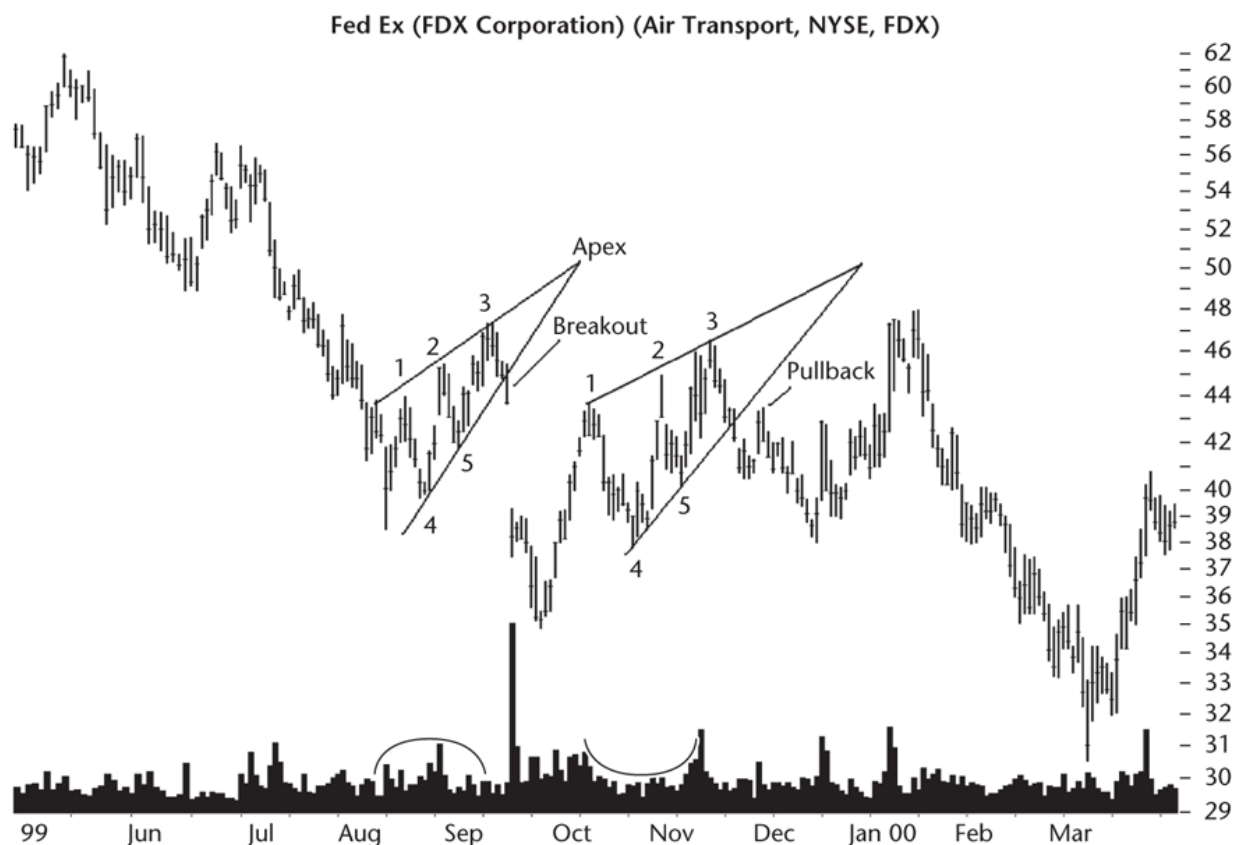


Figure 74.2 Shown are two rising wedges with at least five touches of the two trendlines.

Breakout direction. Price can break out in any direction but is downward most of the time. A breakout happens when price closes outside of the trendline boundary.

Duration. A rising wedge takes time to form. Price makes new minor highs and minor lows as it bounces from trendline to trendline. It takes over 3 weeks for the formation to take on the wedge appearance. Patterns shorter than 3 weeks are usually pennants provided they hang off flagpoles (I wonder if their fingers get tired from hanging on).

Typically, the apex—where the two trendlines meet—marks the end of the wedge. Price usually breaks out about two-thirds of the way to the apex (in calendar days, not trading days). Rising wedges rarely last more than 3 months, but be flexible. If you use the weekly scale to look for wedges, you'll likely find long ones.